

[20] “John Mauldin's Muddled Stock Return Model”, Forbes.Com, March 7th 2013. Url:
<https://www.forbes.com/sites/jerrybowyer/2013/03/07/john-mauldins-muddled-stock-return-model/#617add4655ba>

[21] One-to-one correlation between GDP growth and the stock market is not possible because our economy is no longer closed. Our GDP growth depends on the economic health of other countries due to exchange of goods and services.

[22] <http://statisticstimes.com/economy/gdp-nominal-vs-gdp-ppp.php>

[23] The home that my parents got for 15lakh in 2004 quadrupled in value within 8 years but has been stagnant ever since. If I calculate the CAGR it is 10.3% and I don't see big improvements here-on. The CAGR is only going to drop as people can't afford a home for more than 60 lakh in this area. But if they had put the downpayment amount of 10Lakh in 2004 in Nifty 50 giving 12.6% CAGR, 23 years later (2027) the downpayment of 10lakh alone would return 1.6 crores (retirement solved) and there'd be no interest payments. Add another 6 years (2033) and the downpayment of 10lakhs is now 3.2 crores. When you factor interest payments, CAGR goes down further.

[24] Rough Estimate; based on industrial averages

[25] It is important to recognize that real estate is just another asset class like stocks, bonds or gold. Its price depends on market supply and demand forces. In the last few years, prices have fallen sharply in Tier I and Tier II cities* and demand has decreased. The fact that rent yields (annual rent/property price) is extremely low compared to home loan interest rates suggests that the supply exceeds the demand. Therefore, even as a source of regular income, real estate is far from promising.

* http://reports.ambitcapital.com/reports/Ambit_Economy_Thematic_RealEstate_14Jul2015.pdf

* <https://www.globalpropertyguide.com/Asia/India/Price-History>

[26] Prior to demonetization, black money ruled the roost in real estate deals. It is still too early to understand the impact of demonetization on this sector, but it is expected to be more transparent now (especially with the rollout of the real estate regulation and development act). That is not much consolation because the prices are arbitrary - a person who (continued from previous page) understands the sector well, can get a better deal than one who knows little. The stock market on the other hand, has a well-defined market price – both the expert and the novice pay the same price.

[27] always take the total price you'd be paying including transaction costs, closing costs as the total buy price

[28] Arthyantra has a comprehensive paper on the Rent vs. Buy debate for 8 major cities. Google it if you want to get your hands dirty with math

[29] <https://freefincal.com/gold-is-riskier-than-stocks/> and

<https://freefincal.com/gold-price-movement-usd-vs-inr/>

[30] Both the EPF and PPF are pure fixed income products in which we lend money to the government and it pays back a fixed interest. This interest is reset each quarter in accordance with the